

Personal Liability of Principals

Each general partner in a limited partnership is personally liable for all of the partnership's debts and liabilities, just as the general partners are liable in a general partnership. However, limited partners do not have the same automatic personal liability of a general partner.² Rather, the limited partner's liability is limited to whatever the partner contributed to the partnership. For example, suppose that Francis Redfern initially operates Redfern Catering as a sole proprietor but decides to expand his business operations. He raises capital by selling some ownership interest in his business. Redfern convinces Alexander Macdoff to invest \$20,000 in Redfern Catering. However, Macdoff has substantial personal assets also wishes to protect and has no interest in running the day-to-day operations of the business. The two form Redfern Catering, LP, with Redfern as the general partner and Macdoff as the limited partner. In an effort to cut food costs, Redfern negligently uses spoiled ingredients, and a customer, Marshall, is sickened. Marshall obtains a judgment against Redfern's Catering, LP, but after the assets of the partnership are exhausted, Marshall is still owed a balance from the judgment. Because Redfern is a general partner, Marshall may recover the balance from Redfern's personal assets but not from Macdoff as a limited partner. There are some exceptions to the liability rule spelled out in the RULPA. The primary exception occurs when a partnership's limited partner engages in wrongful conduct on behalf of the limited partnership and causes an injury resulting in damages; the limited partner is personally liable to pay damages to the injured party.

Capitalization

Limited partnerships are generally funded either through debt (e.g., by borrowing money from the principals or a commercial lender) or through a sale of equity (e.g., by selling a percentage of ownership rights in the partnership and any profits of the business). Limited partnerships may not, however, sell ownership rights through the public markets such as the New York Stock Exchange (NYSE). Although not considered publicly traded equity, when limited partnership interests are sold to the public (usually through a broker-dealer with contacts in the investment community), they are subject to strict federal and state securities laws commonly known as *blue-sky laws*. Securities law is discussed extensively in [Chapters 32 through 34](#).

Taxation of Partners and Partnership

Limited partnerships are pass-through entities just like general partnerships. The same rules apply for taxation as in a general partnership. That is, profits or losses are reported in the principal's personal tax return, and tax is paid in accordance with each partner's individual tax rate. The general partner is responsible for filing an information return with taxing authorities, but limited partnerships do not pay corporate taxes. As in the case of general partnerships, the information return informs tax authorities of profits or losses of the partnership entity.

Management and Operation of the Partnership

One of the primary differences between general partners and limited partners is the extent to which those different types of partners are permitted to be involved in day-to-day operations of the business. General partners manage the business and are permitted to legally bind the partnership. Limited partners may not participate in daily management of the business, do not have authority to legally bind the partnership, and remain primarily passive investors. Limited partners who do engage in management and operations jeopardize their limited partnership status. Under the RULPA, limited partners may engage in consulting and contribute expertise but may not engage in management activities such as supervision of employees.¹⁰

Although sometimes limited partners are referred to colloquially as *silent partners*, limited partners have the right to access partnership information such as business or financial records. The partnership agreement may expand the limited partner's role in management (though not to the point where the limited partner's role constitutes day-to-day involvement in running the business) and may also expand their rights and prerogatives, such as the right to remove a general partner or the right to block admission of new partners. These provisions in a partnership agreement are relatively common because they allow the limited partner to better protect their investment. Certain types of ventures, such as private investment funds, prefer to do business as limited partnerships to benefit from pass-through taxation and to limit the liability of the limited partners, who are typically passive and wealthy investors.

Limited partnerships also differ from general partnerships in terms of the default rule for sharing profits and losses. Recall from our earlier discussion that the RULPA mandates that partners, absent agreement to the contrary, share equally in profits and losses. However, in a limited partnership, the partners share in profits and losses in proportion to "the value of contributions made by each partner to the extent they have been received by the partnership and have not been returned."¹¹ For example, suppose Pablo, Vincent, and Frida form a limited partnership for the purpose of starting an art auction house. The partnership is initially structured as seen in [Figure 28.5](#).

FIGURE 28.5 Partner's Role and Capital Contribution

Partner	Initial Capital Contribution	Role
Pablo	\$20,000	General partner; salaried employee
Vincent	\$45,000	Limited partner
Frida	\$45,000	Limited partner



The partnership agreement provides for a salary for Pablo but is silent on distribution of profits and losses. Frida has an immediate need for cash, so the parties agree to return \$10,000 of her investment. Under the RULPA, profits and losses are now allocated with 20 percent to Pablo, 35 percent to Frida, and 45 percent to Vincent.

In some cases, the principals in a partnership make specific agreements and label themselves as limited partners. This labeling is not sufficient to maintain limited partner status (said, thus, protection from certain liabilities). The focus of the inquiry is the principals' conduct. The question is not how they labeled themselves or how they signed certain documents or what they called themselves. Rather, the question is: Did the principals operate as a limited partnership?

✓ QUICK QUIZ Limited Partner Liability

Determine whether any of the following scenarios create personal liability for Enrique, a limited partner in an investment hedge fund that trades cryptocurrencies:

1. Enrique attends quarterly investment strategy meetings and provides helpful investment advice at these meetings.
2. Enrique offers a personal guarantee for the partnership's trading debt incurred with a securities dealer.
3. Enrique makes trades on behalf of the partnership on a weekly basis.

Answers to the Quick Quiz are provided at the end of the chapter.

Family Limited Partnerships

Another type of partnership is a **family limited partnership**. A family limited partnership is simply a limited partnership that is used for estate planning for families of considerable wealth. The actual process and legal procedures governing family limited partnership transactions are a very complex area of tax and estate law. The fundamental purpose of a family limited partnership is to enable wealthy members of one generation to distribute assets (in the form of an IRS-recognized gift) to heirs using a method that allows the distributing generation to claim a much lower market value than the actual market value of the gift. It also allows the distributing generation to transfer assets out of their large estate into the smaller estates of their heirs and avoid estate taxes upon their death.

TAKEAWAY CONCEPTS: Limited Partnerships and Family Limited Partnerships

- A limited partnership has at least one general partner (managing principal) and at least one limited partner (investing principal).
- In the absence of an agreement, the Revised Uniform Limited Partnership Act (RULPA) governs a limited partnership.
- To form a limited partnership, the general partner files a certificate of limited partnership with the state government authority.
- Limited partners enjoy limited liability, whereas general partners face unlimited liability.
- General partners manage the business and are permitted to bind the partnership.
- Limited partners may not participate in daily management of the business, do not have authority to bind the partnership, and remain primarily investors.